

25NNCV06992 25NNCV06992

County: los-angeles

Division: Civil Law and Motion

Department: 510

Hearing date: 2026-09-14

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C510%2C09%2F14%2F2026

Source SHA-256: 8fe51478f856fa6395096fbb2489d06d79786dd85ab729bf00668fb9ccf6373e

Case Number: 25NNCV06992 Hearing Date: September 14, 2026 Dept: 510

No.

6 - Pacificorp Investments, Ltd. V. Zhan Liu

Cross-Defendant Hin Yee Wong's Demurrer
to Second Amended Cross-Complaint

Cross-Defendant

Hin Yee Wong ("Hin Yee") demurs to the single cause of action for fraudulent inducement alleged against her by Cross-Complainant Zhan Liu ("Liu") in her second amended cross-complaint ("SAXC").

Request for Judicial Notice

Hin Yee requests the Court take
judicial notice of a promissory note that is referenced in the SAXC and is
attached to the Complaint, a grant deed, and a quitclaim deed. The promissory
note is subject to judicial notice as a court record under Evidence Code
section 452(d). The deeds are subject to judicial notice under Evidence Code section
452(c).

Hin Yee's request for judicial notice
is granted.

Fraudulent
Inducement

Liu still does not allege sufficient
facts for this cause of action. Fraudulent inducement of a contract requires:

(1) the defendant “misrepresented or concealed a material fact . . . , (2) knowledge of the falsity of the fact or lack of reasonable grounds for believing it to be true, (3) an intent to induce reliance, (4) justifiable reliance by the [plaintiff], and (5) resulting damages.” (*Garamendi v. Golden Eagle Ins. Co.* (2005) 128 Cal.App.4th 452, 470.)

Here,

Liu alleges that Hin Yee is liable for Cross-Defendant Moses Wong's (“Moses”) misrepresentations based on a theory of civil conspiracy. “Conspiracy is not a cause of action, but a legal doctrine that imposes liability on persons who, although not actually committing a tort themselves, share with the immediate tortfeasors a common plan or design in its perpetration.” (*Applied Equipment Corp. v. Litton Saudi Arabia Ltd.* (1994) 7 Cal.4th 503, 510-511.) Liu does not plead sufficient facts to state a claim for the underlying tort.

While

Liu sufficiently pleads knowledge of falsity (SAXC, ¶ 42), intent to induce reliance (*id.*, ¶¶ 40, 42), and damages (*id.*, ¶ 51) by Moses, Liu fails to plead an actionable misrepresentation or concealment by Hin Yee. In the SAXC, Liu alleges that Moses “orally told his wife that she was signing documents to help with their taxes.” (SAXC, ¶ 41.) “[A]ctionable misrepresentations must pertain to past or existing material facts. . . . Statements or predictions regarding future events are deemed to be mere opinions which are not actionable.” (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.) Moses’ concealment, as alleged, relates to the nature of the document being signed, not specifically about the document’s future connection to taxes. This is why the claim against Moses is adequately stated. There are, though, no similar allegations against Hin Yee, who is not alleged to have said, or failed to say, anything to Liu regarding the promissory note that Moses asked her to sign.

In

addition, Liu still does not specifically allege justifiable reliance on statements or omissions by Hin Yee. “The fraud plaintiff must . . . allege his damages were caused by the actions he took in reliance on the defendant’s misrepresentations.” (*Beckwith v. Dahl* (2012) 205 Cal.App.4th 1039, 1064.) A complainant’s conclusory assertion of reliance on misrepresentations is insufficient to satisfy the requirement of specific pleading of fraud, and instead facts must be alleged that would indicate actual reliance on the misrepresentations. (*Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.)

Liu makes only conclusory allegations that she “reasonably relied on the representations of Moses that the documents were for tax purposes.” (SAXC, ¶ 50.) She does not specifically allege what action she took in reliance on the alleged misrepresentation.

Civil Conspiracy

Liu still does not state sufficient facts to support a theory of conspiracy liability. “In order to maintain an action for conspiracy, a plaintiff must allege that the defendant had knowledge of and agreed to both the objective and the course of action that resulted in the injury, that there was a wrongful act committed pursuant to that agreement, and that there was resulting damage.” (Berg & Berg Ent., LLC v. Sherwood Partners, Inc. (2005) 131 Cal.App.4th 802, 823.) “Where fraud is alleged to be the object of the conspiracy, the claim must be pleaded with particularity.” (Prakashpalan v. Engstrom, Lipscomb & Lack (2014) 223 Cal.App.4th 1105, 1136.)

In opposition, Plaintiff argues the SAXC adequately alleges conspiracy liability because paragraphs 37 and 39 allege that Moses and Hin Yee conspired to make false loans. However, these same paragraphs were included in the FAXC (at paragraphs 34 and 36 respectively); the Court found these allegations were insufficient to plead conspiracy. Critically, the SAXC contains no allegations showing that Hin Yee agreed to misrepresent the promissory note to Liu as a document that would help her with taxes. The conspiracy allegations remain insufficient.

Given the liberal policy allowing amendment, the Court will grant Liu leave to amend one more time to plead the fraud claim against Hin Yee.

Disposition

Cross-Defendant Hin Yee Wong's demurrer to the second amended cross-complaint is sustained with 21 days' leave to amend.